SAKALA LOGISTICTS (PVT) LTD
versus
GATEHILL ENTERPRISES PRIVATE LIMITED
and
NABOTH GAZA
and
FIRST CAPITAL BANK LIMITED

IN THE HIGH COURT OF ZIMBABWE
DUBE-BANDA J
HARARE 17, 19 March 2025 & 3 July 2025

Wasted costs

L Matapura, for the plaintiff
R G Zhuwarara, for the 1st and 2nd defendants

DUBE-BANDA J:

[1] On 19 March 2025 and after hearing submissions from counsel, I issued an order couched as follows:

i. By consent and with the leave of court, the oral application for consolidation of this matter and HC 2638/21 made before this court is withdrawn.
ii. By consent and with the leave of court, the oral application made before this court to expunge certain pleadings filed by the first and second defendant's erstwhile legal practitioners – Danzinger and Partners – is withdrawn.
iii. The matter is removed from the roll.
iv. The issue of who pays the wasted costs is reserved.

[2] The contestation turned on the issue of wasted costs. As will more fully appear in this judgment, on one hand the first and second defendants ("defendants") sought wasted costs against the plaintiff on a legal practitioner and client scale. On the other hand, the plaintiff argued that costs be costs in the cause.

The background facts

[3] This dispute about costs arose from the following facts. This matter was set down for trial for 17 March 2025. Before the trial could start, Mr *Matapura* made an application for consolidation of this matter with HC 2638/21. Further, counsel argued that based on the judgment in *Pinewood Logistics (Private) Limited & Anor* v *Gatehill Enterprises (Private)*

Limited & Anor HH 808/20 it was inappropriate for Danzinger and Partners to file pleading for the defendants. For completeness, the operative in HH 808/20 reads in part as follows:

i. "The point *in limine* is upheld.
ii. Mr G.R.J. Sithole or any legal practitioner Danzinger and Partners must cease to act for the respondents (first and second defendants in this matter).
iii. There shall be no order as to costs."

[4] Mr *Matapura* argued that notwithstanding that Danzinger and Partners renounced agency in respect of the defendants, the question remains as to what is to be done with the pleadings the legal practitioners filed after HH 808/20. It was argued that such pleadings are invalid and must be expunged from the record. Counsel argued further that Mr *Zhuwarara* was initially briefed by Danzinger and Partners, a conflicted law firm, although at the trial he was appearing on a brief from a different law firm, must be barred from representing the defendants in this trial.

[5] It became apparent that the plaintiff was raising serious allegations against Mr Muchandiona, a legal practitioner at Danzinger and Partners. I brought it to the attention of both Mr. *Matapura* and Mr. *Zhuwarara* that it would be inappropriate for this matter to be argued and finalized behind Mr Muchandiona's back as it were. Counsel agreed that indeed Mr Muchandiona had a right to have notice of the allegations, and if need be, to defend his name. With the consent of counsel, I directed that the plaintiff files a written interlocutory application and serve it on Mr Muchandiona. The matter was postponed to 19 March 2025. I had envisaged the plaintiff merely reducing to writing the oral application it was making in court and serve it to Mr Muchandiona. However, the application turned out to be something I did not anticipate.

[6] On 19 March 2025 Mr *Matapura* informed the court that a substantive application, with a standing alone case number (HCH 1260/25) had been filed and served on Mr Muchandiona and the defendants. It became apparent at this point that the trial would stall. It is so because the respondents in HCH 1260/25 had to be given a *dies induciae* allowed by the rules of court to file opposing papers. Thereafter the matter will have to proceed in terms of the rules. It became apparent that this matter could not proceed until such time that the application in HCH 1260/25 is finalised. To avoid a duplication between the oral applications and HCH 1260/25, the plaintiff withdrew the oral applications for consolidation and the expunging of pleadings filed by Danzinger and Partners. It is against this background that I made the order stated above.

The parties' submissions

[7] As appears from the order quoted above, one issue remains for determination, it is the question of wasted costs. Mr *Matapura* argued that costs should be costs in the cause, while Mr *Zhuwarara* counsel for the defendants sought an order of wasted costs on a legal practitioner and client scale against the plaintiff.

[8] In support of the order of costs sought, Mr *Zhuwarara* submitted that the parties were notified of the date of hearing on 13 February 2025. The only complaint the plaintiff had was the involvement of Danziger and Partners, and this issue had been addressed in that the law firm renounced agency. The issue relating to the expunging pleading filed by Danziger and Partners was allegedly raised for the first time on 17 March 2025. Counsel argued further that the plaintiff must have known that there could have been no way the issue relating to the expunging of the pleadings could have been determined in the absence of notice to Mr Muchandiona. Counsel submitted that the objection was raised belatedly, and the plaintiff must be mulcted with costs on a legal practitioner and client scale. In addition, counsel argued that the application in HCH 1260/25 was not filed in compliance with the court's directive given on 17 March 2025. The application now covers ninety-five pages. Counsel stressed that what has caused the trial to stall was the issue of seeking to have certain pleading expunged from the record, and this was taken for the first time on 17 March 2025. Counsel argued a case has been made for the wasted costs to be borne by the plaintiff on the legal practitioner and client scale.

[9] *Per contra*, Mr *Matapura* argued that despite the judgment in HH 808/20, Danzinger and Partners continued representing the first and second defendants in this matter, filing a plea and other processes. Counsel argued further that Danzinger and Partners filed the notice of renunciation of agency at the eleventh hour, necessitating the plaintiff to seek the expunging of the pleadings filed by the law firm. Counsel submitted that the plaintiff was not at fault in causing the matter to stall, and wasted costs should be costs in the cause.

The law and the facts

[10] I have given a detailed background to this case for the purpose of locating the issue of wasted costs in a proper perspective. The general rule is that where a party is responsible for a case not proceeding on the day it is set down for the hearing, that party must pay the costs which are wasted. See AC Cilliers Law of Costs (Service Issue 17), para 8.11: HJ Erasmus, Superior Courts Practice, B1-306D-E (Service 28-33). The "general rule" only applies to the party who was at fault or in default. See *Burger* v *Kotze and Another* 1970 (4) SA 302 (W) at 304E-F. Furthermore, when a trial court is likely to be in a better position than the court hearing

this application to ascertain the facts it is a salutary rule that costs should be reserved for a later determination, i.e., by the court that will hear the trial.

[11] The basic rule is that costs are at the discretion of the court. Such discretionary powers are wide and as such, a court should have regard to all considerations that may have a bearing on the overriding objective of doing justice between the parties. Implicit in that statement is that even though a party would otherwise regard itself as being entitled to indemnification of costs incurred, justice may require that costs should not automatically follow.

[12] In applying these principles and guidelines to this case, it is prudent to consider the circumstances leading to the trial stalling on 17 March 2025. Danzinger and Partners, despite the judgment in HH 808/20 which was handed down on 16 December 2020, only renounced agency on 14 March 2025. It is important to note that 14 March was a Friday and the trial was set down for the following Monday i.e., on 17 March. In view of the late renunciation, the plaintiff had only Saturday and Sunday to re-strategize the way forward. The plaintiff could not have prior to 14 March raised the issue of expunging the pleadings, this is so because Danziger and Partners was still on record for the defendants. Therefore, the argument that plaintiff was dilatory in making the application to expunge pleading filed by Danzinger and Partners is unsustainable. In fact, the application to expunge the pleadings was made at the first available opportunity, which was Monday 17 March.

[13] Mr *Zhuwarara* submitted that what was envisaged by the directive given on 17 March 2025 was merely an interlocutory application with no stand-alone case number. An application just like an oral application, the only difference being that it had to be in writing for the benefit of Mr. Muchandiona. I agree. However, nothing of significance turns on this submission. I say so because even if the application was only as characterized by Mr *Zhuwarara,* with no stand-alone case number, still the trial could not have commenced on 19 March because, first a decision had to be made on the fate of the pleadings filed by Danzinger and Partners. Therefore, a closer scrutiny of the facts of this case shows that the stalling of the trial was not the fault of the plaintiff.

[14] Both parties incurred wasted costs occasioned by the preparation for the trial which did not take off. The defendants sought wasted costs on a legal practitioner and client scale. The inquiry into whether the defendants are entitled to such costs does not even arise, because they are not, in the first instance, entitled to costs, because the plaintiff was not at fault.

[15] I agree with Mr *Matapura* that wasted costs be in the cause. This means that the wasted costs will be determined at the end of the trial and awarded to the party who ultimately succeeds in the matter.

In this regard, it is ordered as follows:

The wasted costs occasioned by the failure of the trial to start on the 17 March 2022 to be costs in the cause.

DUBE-BANDA J:……..

Mafongoya and Matapura, plaintiff's legal practitioners
Kufaruwenga, Kajevu & Zihanzu 1st and 2nd defendants' legal practitioners